



The Lexus LX 2022 is expected to be launched in India in January next year, at roughly ₹2.32 crore

these challenges, Soni says, is to make the cars in India. Lexus's largest-selling product in India, the ES, is fully built in India. "The number of products sold in the mass market and number of products sold in the luxury market are practically the same. Which means per car sales in the luxury car market has to be much lower and the cost of getting a part is much more. We're trying to go from completely built units (CBUs) to completely knocked down (CKD) kits," he says.

Schwenk says that Mercedes-Benz's production facility plays a vital role in its CKD network and is the backbone of its India success story. "Mercedes-Benz has been making in India since 1995 and with 13 CKD products, we have one of the largest portfolios of locally produced luxury cars in India. Ninety per cent of our sales in India comprise products that we make here. Our localisation efforts have evolved over the past two decades. From internal combustion engines, we are now transitioning to manufacturing EVs and have adopted digitisation widely across our shop floors," he adds. He says that along with local value addition to world-class products, the carmaker has also developed India-specific products like the long wheelbase E-Class. India is also the first market after Germany to make the Mercedes-Maybach limousine.

For Audi, too, currently, the A4, A6, Q5 and Q7 are locally assembled in India. "As of now, we have enough capacity to cater to the current demand. To make any more investments, we require to achieve a certain

threshold sales volume in India, allowing us to make strong projections for the future, which is a prerequisite for any fresh investments," says Dhillon. He adds that all of Audi's internationally available models are available for India. "Our EV supercars, the Audi RS e-tron GT and the e-tron GT were launched in India within a few months of their global launch. Likewise, our RS (performance) models were launched in India within months of their global launch," he says.

For luxury carmakers, a big part of their long-term strategy is to bring new models faster to India. "There used to be typically a 6-18 month delay. If we're saying India is an important market, we need to look at it differently. When we launched the Urus in 2018, India was among the top five markets where it was rolled out. For Huracán, too, India became the first market after its global unveil to launch the car," says Lamborghini's Agarwal. Technica, too, was launched in India four months after its global launch. With every launch, Lamborghini wants to demonstrate that India is an important market. Taxes, though, are a big hiccup, he adds. "If there's some rationalisation of taxes, there'll be more growth because the size of the market today does not reflect the kind of wealth and aspirations we have in this country."

That, of course, has been the story of luxury cars' biggest challenge in India all along. **BT**

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